FIXED INCOME RESEARCH

October 19 – 23, 2026

US Bond Market Weekly Update

10yr Treasury	2yr Treasury	IG OAS	HY OAS
4.96%	**4.65%**	**89 bps**	**340 bps**
▼ 28 bps MTD	▼ 13 bps MTD	▲ 3 bps MTD	▲ 16 bps MTD

WORD ON THE DESK

Rates markets staged a meaningful rally this week as the Treasury curve steepened, with the long end leading the move lower in yields — a dynamic that carries distinct implications for duration positioning and sector allocation. Investment-grade credit continues to absorb modest spread widening month-to-date while still generating positive total returns, underscoring the powerful carry buffer at current all-in yields. High yield, by contrast, is showing more pronounced spread pressure, suggesting a bifurcation in risk appetite that warrants a cautious tilt toward higher-quality credit. With the Fed's next move still data-dependent, portfolio managers should remain attentive to incoming inflation prints and any shift in the tone of Fed communication. No late-breaking geopolitical or macro events disrupted markets this week, leaving technicals and Fed speak as the primary near-term drivers.

MARKET COMMENTARY

01 Treasury yields declined broadly this week, with the move led by the long end: the 10-year fell 28 bps to 4.96% [DATA: as of 2026-10-22] from a month-start level of 5.24%, while the 2-year dropped 13 bps to 4.65% [DATA: as of 2026-10-22] from 4.78% at month-start. The larger decline in the 10-year relative to the 2-year drove a meaningful bull steepening of the 2s10s curve, which moved from -17 bps at month-start to +31 bps — a swing of nearly 50 bps. The 30-year yield settled at 5.29% [DATA: as of 2026-10-22], down 32 bps from the month-start reading of 5.61%, reinforcing the steepening theme across the long end.

→ On a year-over-year basis, yields remain substantially elevated across the curve — the 10-year is roughly 95 bps above its year-ago level of 4.01%, and the 30-year is 71 bps above last year's 4.58%, keeping all-in yields historically attractive for fixed income buyers.

→ The bull steepening dynamic is consistent with markets beginning to price a more gradual but eventual easing cycle; portfolios benchmarked to the long end benefited meaningfully from duration exposure this week.

02 Investment-grade corporate spreads widened modestly month-to-date, with the IG OAS at 89 bps [DATA: as of 2026-10-22], up 3 bps from the October month-start level. Despite the spread pressure, the IG total return index has delivered +1.74% [DATA: as of 2026-10-22] month-to-date, reflecting the powerful pull-to-par and duration tailwind from the rate rally. The combination of still-tight absolute spread levels and elevated all-in yields continues to attract institutional demand, providing a solid technical backdrop for the asset class.

→ IG primary market supply has been a consistent overhang this month; new issuance has been well-absorbed but has contributed incrementally to the modest MTD spread widening of +3 bps.

→ At 89 bps OAS, IG credit remains near the tight end of post-GFC ranges, leaving limited room for further compression and arguing for a neutral-to-slight underweight to spread duration.

03 High-yield credit spreads have underperformed their investment-grade counterparts month-to-date, with the HY OAS widening 16 bps to 340 bps [DATA: as of 2026-10-22] versus the October month-start. HY total returns of

+0.13% [DATA: as of 2026-10-22] MTD are tracking well behind IG's +1.74%, signaling that the duration tailwind from the rate rally has been partially offset by spread widening and a more cautious risk appetite at the lower end of the credit quality spectrum. The divergence between IG and HY spread performance reinforces a quality bias in credit selection.

→ At 340 bps, HY spreads remain below their long-run historical averages but are wide enough to warrant close monitoring of refinancing risk, particularly for CCC-rated issuers facing elevated base rates.

→ A sustained move above 350-375 bps OAS in HY would likely signal a more meaningful deterioration in risk sentiment and could prompt re-pricing in leveraged loan markets as well.

04 Agency MBS and securitized sectors were not represented with explicit spread or return data in this week's payload, but the sharp bull steepening of the Treasury curve — with the 10-year falling 28 bps — carries nuanced implications for the sector. Faster prepayment expectations are unlikely to be a near-term concern given mortgage rates remain elevated, but the extension risk that has weighed on MBS in recent months may begin to ease modestly if the long-end rally is sustained.

→ Current coupon MBS spreads to Treasuries have been sensitive to volatility in the rates market; a calmer, directionally lower rate environment — if it persists — could provide modest spread tightening support for 30-year agency paper.

→ Investors should monitor the upcoming prepayment data releases for confirmation that payoff speeds remain muted, which would support carry-oriented positioning in higher-coupon MBS.

05 On the Fed communications front, Governor Christopher Waller [DATA: as of 2026-10-14] delivered remarks consistent with a hawkish disposition, reiterating support for tighter policy should inflation prove persistent — a signal that the Board is not prepared to declare victory on price stability prematurely. Vice Chair for Supervision Michelle Bowman [DATA: as of 2026-10-14] took a notably different tack, focusing her remarks on modernizing bank regulation and supervision rather than monetary policy, reflecting a neutral stance on the rate outlook and a distinct portfolio of policy concerns from Waller.

→ The divergence between Waller's explicitly hawkish framing and Bowman's regulatory focus underscores that the FOMC is not a monolith — front-end rate expectations should be calibrated to a committee where several members remain resistant to premature easing.

→ With no late-breaking Fed events this week and the next FOMC meeting on the horizon, market participants will be closely parsing any additional Fedspeak for clues on whether the November meeting holds a live rate decision.

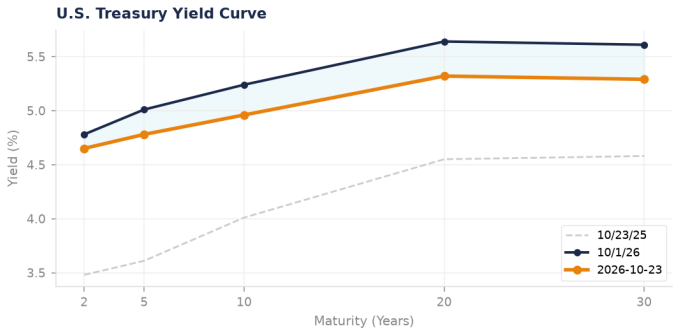
06 No late-breaking geopolitical or macro events were flagged for this week, leaving the market narrative firmly anchored to domestic rates dynamics and credit technicals. In the absence of an exogenous shock, the primary forward-looking risk variable remains the next CPI print, which will either validate the market's growing conviction in a soft-landing/disinflation path or reignite hawkish repricing at the front end of the curve.

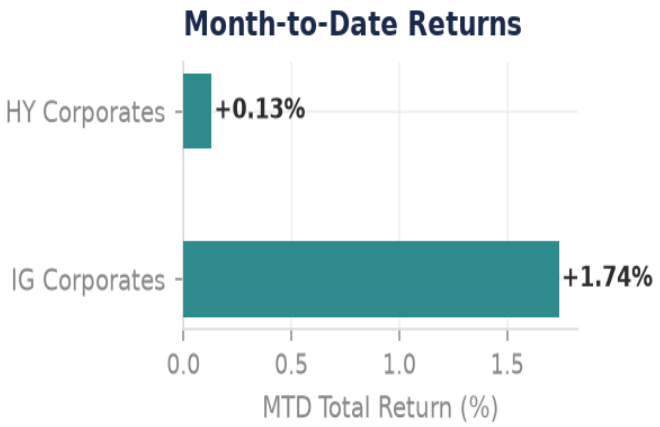
→ Should inflation data continue to trend toward the Fed's 2% target, the bull steepening dynamic observed this week could extend, rewarding longer-duration positioning and compressing term premium.

→ Conversely, an upside inflation surprise would likely reverse much of this week's rate rally quickly, with the 2-year yield — most sensitive to near-term policy expectations — bearing the brunt of any re-pricing.

07 ■■ QA flags present — human review required before trusting figures.

MARKET DATA





	2yr	5yr	10yr	20yr	30yr
Yield (%)	4.65	4.78	4.96	5.32	5.29
MTD (bps)	-13	-23	-28	-32	-32

Sector	OAS (bps)	MTD Chg
IG Corporate	89	+3
HY Corporate	340	+16

DATA SOURCES

Series	Value	As Of	Source
2yr Treasury	4.65%	2026-10-22	FRED:DGS2
5yr Treasury	4.78%	2026-10-22	FRED:DGS5
10yr Treasury	4.96%	2026-10-22	FRED:DGS10
20yr Treasury	5.32%	2026-10-22	FRED:DGS20
30yr Treasury	5.29%	2026-10-22	FRED:DGS30
IG OAS	89.0 bps	2026-10-22	FRED:BAMLC0A0CM
HY OAS	340.0 bps	2026-10-22	FRED:BAMLH0A0HYM2
IG Corporates MTD Return	+1.74%	2026-10-22	FRED:BAMLCC0A0CMTRIV
HY Corporates MTD Return	+0.13%	2026-10-22	FRED:BAMLHYH0A0HYM2TRIV